

GRANT APPLICATION SUPPORTING DOCUMENT

Current Traction

PROJECT

Pal3 (paluwagan3)

FUNDING ROUND

Stellar Community Fund #45

DATE

13 August 2026

1. Where the Project Stands

Pal3 is pre-deployment. No contract has been written to a network, no user has joined a room, and no transaction has moved on Stellar. What exists today is a complete, internally reviewed build specification: a product brief, a 23-requirement PRD, a 17-decision architecture spine, a full UX behavior and visual specification, a 45-story implementation breakdown, and a system-level test design — all rated final or complete, and all produced before a single line of application code was written. Two of the 45 stories are ready for a developer to pick up; the remainder are scoped and sequenced but not yet started. The project is entering the eight-week build window that runs toward the SCF #45 demo.

2. Specification and Design Completeness

This is the substance of the project's traction to date: a specification set that is unusually complete for this stage, and that has been put through structured review rather than accepted as written.

Artifact	Status	What it establishes
Product Brief BRIEF.MD + ADDENDUM.MD	final	Problem, solution, trust model, competitive picture, market sizing, team, roadmap, and funding ask. Dated 8 Aug 2026.
PRD PRD.MD	final	23 functional requirements (FR-1–FR-23) and 11 non-functional requirements, each with explicit, testable consequences. Dated 8 Aug 2026, updated 12 Aug 2026.
Architecture Spine ARCHITECTURE- SPINE.MD	final	17 architecture decisions (AD-1–AD-17) governing contract topology, storage, authorization, and default handling. Passed an adversarial-lens review (3 issues found, all resolved in the current text) and a verification-lens review (pass, one non-blocking note). Dated 8 Aug 2026, updated 12 Aug 2026.
UX Design DESIGN.MD + EXPERIENCE.MD	final	Visual identity plus a full information architecture across 18 surfaces, each mapped to the FRs it realizes, plus a composition-reference mockup of the room-terms / commit screen. Dated 11 Aug 2026, updated 12 Aug 2026.
Epic & Story Breakdown EPICS.MD	—	5 epics, 45 stories, every story with Given/When/Then acceptance criteria.
Implementation Readiness Assessment	READY	20 issues found across the PRD, architecture, UX, and epics. Status moved from NEEDS WORK at first assessment to READY after two remediation passes, both completed 12 Aug 2026.

Artifact	Status	What it establishes
System-Level Test Design TEST-DESIGN- ARCHITECTURE.MD + TEST-DESIGN-QA.MD	workflow completed	Covers all 5 epics and 45 stories. Identifies 21 risks (1 critical, 11 high, 9 medium, 0 low) and plans roughly 124 test scenarios (an estimated 175–280 hours). Completed 13 Aug 2026, before implementation began.

A few of the load-bearing architecture decisions

Of the 17, five carry most of the product's central claims: **AD-1** makes the ledger the only system of record, so no off-chain database can drift from — or be trusted over — chain state. **AD-6** establishes that no address, including the underwriter's or the platform operator's, holds a privileged path to member value. **AD-9** requires the default waterfall (slash, backstop draw, and payout) to resolve atomically in a single invocation, so no round can be left with a recipient underpaid. **AD-11** removes randomness from the system entirely — payout ordering, stake sizing, and slash amounts are pure, reproducible functions of chain state. **AD-15** requires that the address being authorized is always the transaction source, which is what keeps the product on the mainstream Stellar wallet path rather than requiring a bespoke integration.

The adversarial-lens review is worth naming directly: it found three cases where two implementations could each obey the letter of a rule (on member-handle derivation and on FX-rate sourcing and staleness) while still producing inconsistent results for a member. All three are resolved in the architecture text as it now stands — a single shared module for the handle, and a single layer (the API) that decides both rate sourcing and staleness.

3. Implementation Status

Per the project's sprint tracker (`SPRINT-STATUS.YAML`, generated and last updated 13 Aug 2026):

Epic 1 — "A verified member with a working wallet" — is marked in-progress. Under the tracker's own status convention, an epic moves to in-progress automatically once its first story file is created; this reflects that stories have been scoped, not that code has been written.

The two stories created so far, both in Epic 1, are **ready-for-dev**:

- Story 1.1 — Project scaffold with generated contract bindings
- Story 1.2 — Contract test harness and CI pipeline

Every other story — the remaining 7 stories in Epic 1, and all 36 stories across Epics 2–5 — is in backlog. Epics 2 through 5 have not been started.

Story completion count: 0 of 45.

A direct check of the repository, outside the planning, test, and design-artifact directories, found no implementation code — no `CONTRACTS/`, `SERVICES/`, or `APP/` directories exist yet. This is consistent with

the tracker: the two ready-for-dev stories define what will be built next, not work already completed.

4. Team

Pal3 is built by a solo founder with four years of professional smart contract development experience in Solidity/EVM, now migrating to Rust/Soroban for this build.

The architecture outline frames the transferable capability precisely: contract engineering under adversarial conditions — escrow, custody of pooled funds, slashing logic, upgrade safety — is a discipline, not a language. Soroban is a migration on top of that established discipline rather than a first attempt at smart contracts, and the specification reflects it: the Soroban-specific decisions that differ most sharply from EVM practice — storage durability and TTL handling, expiry never functioning as a deadline, and the single-party authorization model — are settled in the architecture rather than left to be discovered mid-build.

Single-founder execution risk is real, and there is no in-house audit capability. That is precisely why an audit-readiness review is a funded milestone in the grant ask (tranche T2) rather than an assumption.

5. Pilot Design

The V1 pilot is a designed experiment that has not yet run. Its parameters, as specified in the brief and PRD:

- **Size:** 5–10 members — deliberately the size of a real paluwagan room, not a growth test. A named counter-metric (SM-C3) explicitly resists inflating this number to make the pilot look more substantial.
- **Cadence:** weekly, which completes a full cycle in 5–10 weeks.
- **Recruitment:** the founder's personal network — officemates, family, friends, and an organized barangay group.
- **Underwriter:** one, who for the pilot may be the founder himself, so the two-sided cold start — needing both trustworthy members and a willing underwriter at once — does not gate the first cycle.
- **Consent:** before committing any funds, each member sees one screen with the complete room terms — contribution amount, cadence, member count, their payout position and date, their stake, the underwriter's fee, and the default-handling waterfall in plain language — and must explicitly acknowledge that funds are held in a USD-pegged stablecoin, not pesos, before the app allows them to join.

The PRD lists the pilot cohort's actual membership as an open question: the size is settled, but the individuals are not yet identified, with the founder named as owner and "during the build window" as the revisit condition.

6. What Does Not Exist Yet

Stated directly, because a specification this complete makes the honest gap table more credible, not less.

Category	Status	Where it's addressed
Users / members onboarded	None	Pilot cohort recruitment is scheduled during the build window (PRD §13, open question 4)
On-chain activity / transactions	None	Begins with testnet deployment (Story 5.2, currently backlog)
Testnet or mainnet deployment	Neither has occurred	Story 5.2 (testnet) and Story 5.7 (audit-readiness gate before mainnet), both backlog
Partnerships or integrations	None named	Not addressed in the current specification
Prior grants, awards, or hackathon results	None found	SCF #45 is the funding milestone named in the roadmap
Community or social media metrics	None recorded	Not addressed in the current specification

None of this is concealed above — the specification and the readiness assessment name each of these as the state before the build, not after it.